

ment debt relative to GDP after their sharp departures in the Covid-19-affected year of FY21.”

FISCAL DISCIPLINE

Better-than-anticipated growth—at 7.2 per cent in FY23 and an estimated 7.3 per cent in FY24—is expected to give the government some cushion in its plans for the Interim Budget. Tax collections remained robust at ₹14.3 lakh crore or 61.6 per cent of the Budget Estimate between April and November 2023 and it is expected to help offset the shortfall in disinvestment proceeds that were at just ₹8,858.55 crore in the period as against the full-year target of ₹51,000 crore. (See graphic ‘Econometrics’)

However growth is likely to slow down in FY25 due to external factors and policy prescriptions will be needed to keep afloat India’s aspiration of turning into a \$5-trillion economy.

The central government’s spending has also been well within limits, and the focus on capital expenditure is also seen to continue. “The central government capex has surged by 3x over the past five years, taking the government capex to GDP ratio to an all-time-high of 3.3 per cent of GDP in FY24. The incremental growth from here could turn limited, at least in FY25, as welfare spending pressures and budget consolidation takes a toll. We expect only about 7-8 per cent growth in government capex budget for FY25,” global brokerage Jefferies said in a recent note.

Fiscal deficit was contained at 50.7 per cent of the Budget Estimate in April-November 2023, but analysts believe that it would breach the 5.9 per cent of GDP target for FY24 and come in at around 6 per cent due to lower nominal GDP growth of 8.9 per cent compared to the budget assumption of 10.5 per cent.

BIG-TICKET ANNOUNCEMENTS?

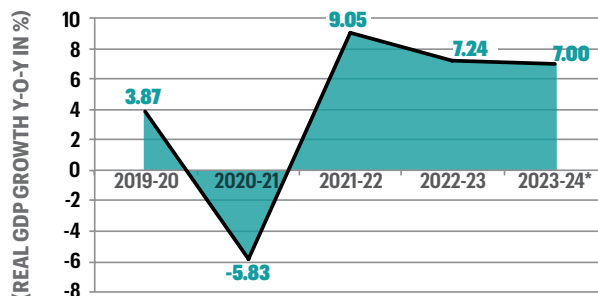
The overall performance on both the revenue and expenditure fronts is expected to give the government more room to spend on at least a few schemes that could please voters, though it may not go in for large-scale populist announcements. “The BJP’s strong performance in the state polls notwithstanding, we believe that the tilt to welfare policies should gain momentum in the run-up to the April-May 2024 polls,” said Jefferies.

Some popular schemes may also be expanded or get extra resources to boost implementation, such as Housing for All and health insurance, Jefferies said, adding that the government’s farmer’s cash transfer

ECONOMETRICS

GDP GROWTH

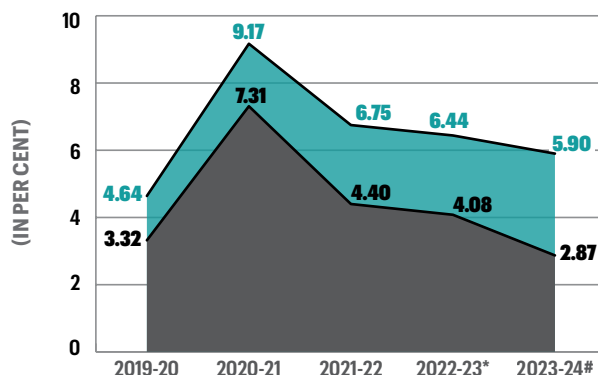
● GDP growth has been higher than anticipated in FY23 and FY24 ● Economic growth is likely to slow down in FY25



*FIRST ADVANCE ESTIMATES SOURCE CAREEDGE RATINGS

FISCAL DEFICIT

● The Centre is likely to maintain its fiscal discipline in FY25 ● However, fiscal deficit may marginally breach the FY24 target



● FISCAL DEFICIT AS % OF GDP
● REVENUE DEFICIT AS % OF GDP

NOTE *REVISED ESTIMATE (RE);
#BUDGET ESTIMATE (BE)
SOURCE CAREEDGE RATINGS

scheme may see an increase. “Overall, we expect the social spending of government (excluding subsidies) to rise by ~7-8 per cent in FY25E against a 3 per cent increase in FY24E,” it said.

To tone down expectations, the Finance Minister has already said that the Interim Budget will not have any “spectacular announcements”. But going by past trends, Interim Budgets have more often than not held a promise of what the government would offer if it were to come back to power. A *Business Today* analysis of the past four